

AUDIT INVESTIGATION REPORT

Investigation No. INV-00191 | Type: Fraud Investigation

Investigation ID:	INV-00191
Investigation Type:	Fraud Investigation
Status:	OPEN
Trigger Source:	Expense audit escalation
Lead Investigator:	Beth Johnson (EMP-16763)
Subject Employee:	Michael Reed (EMP-59581)
Related Vendor:	KineticBlue Ltd Group (VND-03050)
Related Transaction:	TXN-C131020100
Scope Period:	2021-01-27 to 2022-08-22
Created Date:	2023-02-04
Completed Date:	In Progress
Outcome:	UNSUBSTANTIATED

1. AUDIT QUESTION

"Which expense claims exceed the policy limit for the stated category?"

2. BACKGROUND

This investigation was initiated following a expense audit escalation relating to activity associated with employee Michael Reed (EMP-59581) and vendor KineticBlue Ltd Group (VND-03050). The investigation scope covers the period 2021-01-27 to 2022-08-22 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-C131020100 (amount 1,256.97 INR, risk score 0.67). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-000727	MEDIUM	APPROVAL LIMIT	Transaction processed with approval from an officer whose delegated authority was 6% below the required threshold.
FND-004185	MEDIUM	POLICY BREACH	Expense claim of \$277,541 for Software exceeds the policy maximum of \$100,000. Overage: \$44,449.

5. CONCLUSION

Based on the evidence reviewed, the investigation team was unable to substantiate the original allegation. Records and interviews were consistent with normal business activity.

6. ACTIONS TAKEN

- Transaction reversed and funds recovered in full.
- Matter referred to Legal & Compliance for further action.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Beth Johnson	EMP-16763	2023-02-04